Financial Institutions and Markets
Practice with Multiple Choice Questions on Week 2

Q1. What are transaction costs in financial markets?
a) The profit made by financial intermediaries
b) The interest paid on loans
c) The time and money spent in carrying out financial transactions
d) The cost of regulating financial markets

Q2. Economies of scale enable financial institutions to:
a) Reduce transaction costs
b) Avoid the asymmetric information problem
c) Avoid adverse selection problems
d) Reduce moral hazard

Q3. An example of economies of scale in the provision of financial services is:
a) Investing in a diversified collection of assets
b) Providing depositors with a variety of savings certificates
c) Hiring more support staff so that customers don't have to wait so long for assistance
d) Spreading the cost of writing a standardized contract over many borrowers

Q4. The process where financial intermediaries create and sell low-risk assets and use the proceeds to purchase riskier assets is known as:
a) Risk sharing
b) Risk aversion
c) Risk neutrality
d) Risk selling

Q5. Reducing risk through the purchase of assets whose returns do not always move together is:
a) Diversification (giảm thiểu rủi ro bằng cách đa dạng hóa danh mục)
b) Intermediation
c) Intervention
d) Discounting

Q6. Risk sharing is profitable for financial institutions due to:
a) Low transactions costs
b) Asymmetric information
c) Adverse selection
d) Moral hazard

Q7. Typically, borrowers have superior information relative to lenders about the potential returns and risks associated with an investment project. The difference in information is called:
a) Moral selection
b) Risk sharing
c) Asymmetric information
d) Adverse hazard

Q8. If bad credit risks are the ones who most actively seek loans and, therefore, receive them from financial intermediaries, then financial intermediaries face the problem of:
a) Moral hazard
b) Adverse selection
c) Free-riding
d) Costly state verification

Q9. The problem created by asymmetric information **before** the transaction occurs is called ________, while the problem created **after** the transaction occurs is called ________.
a) Adverse selection; moral hazard
b) Moral hazard; adverse selection
c) Costly state verification; free-riding
d) Free-riding; costly state verification

Q10. An example of the problem of ________ is when a corporation uses the funds raised from selling bonds to fund corporate expansion to pay for Caribbean cruises for all of its employees and their families.
a) Adverse selection
b) Moral hazard
c) Risk sharing
d) Credit risk

Q11. Financial intermediaries are better equipped than individuals to screen out bad credit risks from good ones, thus reducing losses due to:
a) Adverse selection
b) Moral hazard
c) Free-riding
d) Economies of scope

Q12. ________ institutions are financial intermediaries that acquire funds at periodic intervals on a contractual basis.
a) Investment
b) Contractual savings

c) Thrift
d) Depository

Q13. Which of the following are **NOT** contractual savings institutions?
a) Life insurance companies
b) Credit unions
c) Pension funds
d) State and local government retirement funds

Q14. Which of the following is an example of adverse selection?
a) A bank monitoring a borrower's use of funds
b) A health insurance company charging higher premiums to smokers
c) A company issuing dividends to shareholders
d) A government regulating financial markets

Q15. What is moral hazard in financial markets?
a) When borrowers use loans for illegal activities
b) When lenders charge very high interest rates
c) When one party changes behaviour after an agreement is made
d) When the stock market crashes

Q16. What is the "lemons problem" in financial markets?
a) When citrus fruits are overpriced
b) When good securities are undervalued, and bad ones are overvalued
c) When banks refuse to lend money
d) When the government intervenes in the market

Q17. Which of the following is **NOT** a tool to help solve adverse selection problems?
a) Government regulation to increase information
b) Financial intermediation
c) Collateral requirements (tài sản đảm bảo; bao gồm tài sản thế chấp và tài sản cầm cố)
d) Increasing interest rates

Thế chấp: Thế chấp giấy tờ nhà nhưng vẫn được sử dụng nhà.

Cầm cố: Mang giấy tờ đến ngân hàng thì mới được vay vốn.

Q18. What is the principal-agent problem?
a) When principals don't pay their agents
b) When agents act in their own interest rather than the principals'
c) When principals micromanage their agents
d) When agents refuse to work for principals

Q19. What is the main difference between debt and equity markets?
a) Debt markets are regulated, equity markets are not
b) Debt markets involve loans, equity markets involve ownership shares
c) Debt markets are only for governments, equity markets for companies
d) There is no difference

Q20. Which of the following statements about the characteristics of debt and equity is FALSE?
a) They can both be long-term financial instruments.
b) They can both be short-term financial instruments.
c) They both involve a claim on the issuer's income.
d) They both enable a corporation to raise funds.

Q21. Short-term debt has a maturity that is:
a) Between one and ten years
b) Less than a year
c) Between five and ten years
d) Ten years or longer

Q22. What is the main function of an investment bank? (Not yet learned)
a) To accept deposits from the public
b) To provide checking accounts
c) To advise on and underwrite security offerings
d) To insure against financial losses

Q23. According to the lecture, which country's businesses rely more heavily on debt financing?
a) Germany
b) Japan
c) Canada
d) United States

Q24. What is one reason why financial intermediaries are preferred over direct finance?
a) They offer higher returns
b) They have lower transaction costs
c) They are not regulated
d) They only serve large corporations

Q25. Why do financial markets need regulation?
a) To eliminate all risks for investors
b) To reduce problems caused by asymmetric information and to protect investors
c) To guarantee profits for financial institutions
d) To increase transaction costs